

Chapter 10: Tangible Non-current Assets and Depreciation

Excel file for this chapter: [excel/Ch10_Depreciation.xlsx](#). The worked examples below come from its orange tabs; questions 10.9 to 10.13 are self-marking on the blue tabs.

All amounts are in Malaysian Ringgit (RM).

1. Learning goals

1. Tell the difference between non-current assets and current assets.
2. Tell the difference between capital expenditure and revenue expenditure.
3. Explain what depreciation is and why it is charged.
4. Calculate depreciation using the straight line, reducing balance and revaluation methods.
5. Record depreciation in the ledger and in the financial statements.
6. Record the sale (disposal) of a non-current asset and find the profit or loss.

2. Key words

Term	Meaning
Non-current asset	An asset bought to use in the business for more than one year , not to resell. Example: premises, machinery, vehicles.
Tangible	You can touch it. Example: a van. (Intangible: goodwill, a brand.)
Cost	Purchase price plus all costs to get the asset ready for use: delivery, installation, legal fees, first registration.
Depreciation	The part of the cost of a non-current asset used up in one year. It is an expense .
Residual value	The amount you expect to sell the asset for at the end of its useful life. Also called scrap value.
Useful life	The number of years the business expects to use the asset.
Provision for depreciation	Also called accumulated depreciation. The total depreciation charged on an asset since it was bought.
Carrying amount	Cost minus accumulated depreciation. Also called net book value (NBV).
Disposal	Selling or scrapping a non-current asset.

3. Capital and revenue expenditure

Capital expenditure	Revenue expenditure
Buying or improving a non-current asset	Day to day running costs
Benefit lasts more than one year	Benefit used up within the year
Shown in the Statement of Financial Position	Shown as an expense in the Statement of Profit or Loss
Examples: buying a van, delivery and installation of a machine, building an extension	Examples: fuel, repairs, insurance, wages, road tax

Why it matters: if you record capital expenditure as an expense, profit is **understated** and assets are **understated**. If you record revenue expenditure as an asset, profit and assets are **overstated**.

Capital **receipts** (for example, money from selling an old van, or a loan) are not revenue. Revenue **receipts** (sales, rent received, commission) go to the Statement of Profit or Loss.

4. Why do assets lose value?

Four causes of depreciation:

1. **Wear and tear:** the asset is used and wears out (a delivery van).
2. **Passage of time:** a lease runs out after a fixed number of years.
3. **Obsolescence:** the asset becomes out of date because newer models exist (old computers).
4. **Depletion:** the asset is used up (a mine or quarry).

5. Why charge depreciation?

- **Accruals (matching) concept:** the cost of the asset is spread over the years it helps earn revenue.
- **Prudence:** assets are not overstated in the Statement of Financial Position.
- It gives a true figure for profit each year.

Remember: depreciation is **not** cash. No money leaves the bank when you charge depreciation.

6. Method 1: Straight line

The same amount is charged every year.

Formula:

$$\text{Annual depreciation} = (\text{Cost} - \text{Residual value}) / \text{Useful life in years}$$

Or a fixed percentage of **cost** each year.

Worked example 10.1

A machine costs RM20,000. Expected residual value is RM2,000 after 4 years.

$$\text{Annual depreciation} = (20,000 - 2,000) / 4 = \text{RM4,500 per year}$$

Year	Depreciation for year (RM)	Accumulated depreciation (RM)	Carrying amount at end (RM)
1	4,500	4,500	15,500
2	4,500	9,000	11,000
3	4,500	13,500	6,500
4	4,500	18,000	2,000

Best for: assets which give the same benefit each year, for example premises or furniture.

7. Method 2: Reducing balance

A fixed percentage of the **carrying amount** (not cost) is charged each year. The charge is high in early years and falls each year.

Formula:

$$\text{Depreciation} = \text{Carrying amount at start of year} \times \text{percentage}$$

Worked example 10.2

Equipment costs RM10,000. Depreciation is 20% per year, reducing balance.

Year	Carrying amount at start (RM)	Depreciation (RM)	Accumulated depreciation (RM)	Carrying amount at end (RM)
1	10,000	2,000	2,000	8,000
2	8,000	1,600	3,600	6,400
3	6,400	1,280	4,880	5,120
4	5,120	1,024	5,904	4,096

Best for: assets which lose more value in the early years and need more repairs later, for example motor vehicles. High depreciation early plus low repairs balances with low depreciation later plus high repairs.

8. Method 3: Revaluation

Used for many small, low cost items such as loose tools. It is too slow to depreciate each item.

Formula:

$$\text{Depreciation} = \text{Opening value} + \text{Purchases in the year} - \text{Closing value (valuation)}$$

Worked example 10.3

	Particulars	RM	RM	RM
	Loose tools at start of year			1,200
Add:	Tools bought during the year			500
				1,700
Less:	Loose tools valued at end of year			(1,100)
	Depreciation for the year			600

9. Buying part way through the year

Businesses choose a policy and use it consistently:

- **Full year** charge in the year of purchase and none in the year of sale, **or**
- **Monthly (time) basis:** charge only for the months owned.

Example: a machine costing RM12,000 is bought on 1 April. Depreciation is 10% per year on cost. Year end is 31 December.

Full year charge = $12,000 \times 10\% = \text{RM}1,200$. Monthly basis for 9 months = $1,200 \times 9/12 = \text{RM}900$.

Always read the question to see which policy to use.

10. Recording depreciation in the ledger

The asset stays at **cost** in its own account. Depreciation builds up in a separate account.

Entry	Debit	Credit
Depreciation for the year	Statement of Profit or Loss (depreciation expense)	Provision for depreciation account

Worked example 10.4 (using example 10.1)

Dr Machinery Account Cr

Date	Particulars	Folio	Amount	Date	Particulars	Folio	Amount
Year 1			RM	Year 1			RM
Jan 1	Bank	CB1	20,000	Dec 31	Balance c/d		20,000
			20,000				20,000
Year 2							
Jan 1	Balance b/d		20,000				

Dr Provision for Depreciation of Machinery Account Cr

Date	Particulars	Folio	Amount	Date	Particulars	Folio	Amount
Year 1			RM	Year 1			RM
Dec 31	Balance c/d		4,500	Dec 31	Income statement	GJ1	4,500
			4,500				4,500
Year 2				Year 2			
Dec 31	Balance c/d		9,000	Jan 1	Balance b/d		4,500
				Dec 31	Income statement	GJ2	4,500
			9,000				9,000
				Year 3			
				Jan 1	Balance b/d		9,000

Statement of Financial Position (extract) at the end of Year 2

Particulars	RM	RM	RM
	Cost	Accumulated Depreciation	Carrying Amount
Non-current assets			
Machinery	20,000	9,000	11,000

11. Disposal of a non-current asset

When an asset is sold, open a **Disposal account**. It works out the profit or loss on sale.

Step	Debit	Credit	Amount
1. Transfer the cost	Disposal	Asset account	Original cost
2. Transfer the depreciation	Provision for depreciation	Disposal	Accumulated depreciation to date
3. Record money received	Bank (or Cash)	Disposal	Sale proceeds
4. Balance the account			Profit or loss

- If the **credit** side is bigger, the difference is a **profit** on disposal (income).
- If the **debit** side is bigger, the difference is a **loss** on disposal (expense).

Quick check: Profit or loss = Sale proceeds - carrying amount at date of sale.

Worked example 10.5

A van cost RM30,000. Accumulated depreciation to the date of sale is RM18,000. It is sold for RM10,000 cash paid into the bank.

Carrying amount = 30,000 - 18,000 = 12,000. Proceeds 10,000. **Loss = 2,000.**

Dr Disposal of Van Account Cr

Date	Particulars	Folio	Amount	Date	Particulars	Folio	Amount
****			RM	****			RM
Date of sale	Van (cost)	GJ1	30,000	Date of sale	Provision for depreciation	GJ1	18,000
				Date of sale	Bank	CB1	10,000
				Year end	Income statement (loss on disposal)	GJ2	2,000
			30,000				30,000

If the van had been sold for RM13,000, the profit would be RM1,000 and it would appear on the **debit** side as "Income statement (profit on disposal)".

12. Where does it all go?

Item	Statement of Profit or Loss	Statement of Financial Position
Depreciation for the year	Expense	
Accumulated depreciation		Deducted from cost under non-current assets to give the carrying amount
Profit on disposal	Other income (added to gross profit)	
Loss on disposal	Expense	
Cost of asset		Non-current assets

13. Common mistakes

- Using **cost** instead of the **carrying amount** for reducing balance.
- Forgetting to deduct residual value in straight line.
- Recording depreciation in the asset account instead of the provision account.
- Treating repairs as capital expenditure. Repairs keep an asset working; they do not improve it.
- Mixing up the sides of the disposal account. Profit balances on the **debit** side.

14. Quick summary

- Non-current assets are used, not sold, and last more than a year.
- Depreciation spreads cost over useful life (accruals) and avoids overstating assets (prudence).
- Straight line: same amount yearly. Reducing balance: percentage of the carrying amount.
Revaluation: opening + purchases - closing.
- Disposal: proceeds minus carrying amount equals profit or loss.

15. Check yourself

1. A computer costs RM3,000 plus RM200 installation. It will last 4 years with no residual value. Find the straight line depreciation.
2. A car costs RM16,000. Depreciation is 25% reducing balance. Find the carrying amount after 2 years.
3. A machine with a carrying amount of RM4,000 is sold for RM4,600. Profit or loss?

Answers: see [model-questions/Answer_Key.md](#) , Chapter 10 section.

Senior 1 Accounting notes. Free to use and share.